Prototype Adoption Agreement

515266

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Assistant Director-Document Services
Principal Life Insurance Company

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PRINCIPAL FINANCIAL GROUP PROTOTYPE FOR 403(b) PLANS

ADOPTION AGREEMENT NONSTANDARD

IRS SERIAL NO. J300864a

ADOPTION AGREEMENT PLAN NO. 001
TO BE USED WITH BASIC PLAN NO. 03

APPROVED: March 31, 2017
703

Principal Life
Insurance Company
Des Moines, IA 50392-0001

DEPARTMENT OF THE TREASURY
INTERNAL REVENUE SERVICE
WASHINGTON, D.C. 20224

TAX EXEMPT AND
GOVERNMENT ENTITIES
DIVISION

Plan Description: Prototype Non-standardized 403(b) Plan
FFN: 31307440003-001 Case: 201500253 EIN: 42-0127290
Letter Serial No: J300864a
Date of Submission: 05/04/2015

PRINCIPAL LIFE INSURANCE COMPANY
710 9TH STREET
DES MOINES, IA 50309

Contact Person:
Janell Hayes
Telephone Number:
513-263-3602
In Reference To: TEGE:EP:7521
Date: 03/31/2017

Dear Applicant:

In our opinion, the form of the plan identified above is acceptable under section 403(b) of the Internal Revenue Code for use by eligible employers for the benefit of their employees. This opinion relates only to the acceptability of the form of the plan under the Internal Revenue Code. It is not an opinion of the effect of other Federal or local statutes.

You must furnish a copy of this letter, a copy of the approved plan, and copies of any subsequent amendments to each eligible employer who adopts this plan.

This letter considers the changes contained in the final regulations under Code section 403(b) (sections 1.403(b)-1 through 1.403(b)-11) that were published on July 26, 2007 (72 FR 41128) and the applicable requirements of the 2012 Cumulative List of Changes in Plan Qualification Requirements contained in Notice 2012-76, 2012-62 I.R.B. 775.

Our opinion on the acceptability of the form of the plan is not a ruling or determination as to whether an eligible employer's plan satisfies Code section 403(b). However, an eligible employer that adopts this plan may rely on this letter with respect to the satisfaction of its plan under Code section 403(b), as provided for in Rev. Proc. 2013-22, 2013-18 I.R.B. 985, and outlined below. The terms of the plan must be followed in operation.

An eligible employer that adopts this Code section 403(b) prototype plan may rely upon an opinion letter issued for the plan that the form of the adopting eligible employer's plan satisfies the requirements of Code section 403(b) if the plan is a Code section 414(d) governmental plan or if the adopting eligible employer is a Church or Qualified Church Controlled Organization (QCCO) as defined in Revenue Procedure 2013-22. Our opinion does not constitute a determination that the plan is a governmental plan or that the adopting employer is a Church or QCCO.

An eligible employer that adopts this Code section 403(b) plan which is not a Code section 414(d) government plan or a plan of a Church or Qualified Church Controlled Organization (QCCO) as defined in Revenue Procedure 2013-22 may rely upon this letter issued for the plan that the form of the adopting eligible employer's plan satisfies the requirements of Code section 403(b), except with respect to whether nonelective contributions under the plan satisfy the requirements of Code sections 401(a)(4) and 410(b).

In general, our opinion may not be relied on with respect to the requirements of Code section 415 if the adopting eligible employer or any of its related employers maintains another Code section 403(b) plan covering any of the same participants as this Code section 403(b) plan, unless the other plan is also a Code

section 403(b) prototype plan. For this purpose, the term "related employers" means all employers that are aggregated with the adopting eligible employer under Code sections 414(b) and (c) (each as modified by Code section 415(h)), (m), and (o), including Regulation 1.414(c)-5. See Regulations 1.415(c)-1(d) and 1.415(f)-1(f) for special rules applicable to Code section 403(b) plans.

This letter may not be relied upon with respect to issues of an inherently factual nature.

This is not a ruling or determination with respect to any language in the plan that reflects Section 3 of the Defense of Marriage Act, Pub. L. 104-199, 110 Stat. 2419 (DOMA) or U.S. v. Windsor, 570 U.S. 12 (2013), which invalidated that section, except to the extent that the definition of spouse is relevant for purposes of required minimum distributions under Code section 401(a)(9) and spousal rollover rights under Code section 402(c)(9).

This letter does not rule on whether this plan meets any requirements of a multiple employer plan.

This letter does not express an opinion with respect to the terms of any investment arrangements under the plan of any adopting eligible employer or any other documents that may be incorporated by reference into an adopting eligible employer's plan. In the event of any conflict between the terms of the plan and the terms of investment arrangements under the plan (or any other documents incorporated by reference into the plan) the terms of the plan shall govern.

This letter does not express an opinion, and may not be relied upon, with respect to whether any plan is subject to the requirements of Title I of ERISA or whether a plan satisfies any of those requirements.

If you, the prototype sponsor, have any questions concerning the IRS processing of this case, please call the above telephone number. This number is only for use of the sponsor. Individual participants and/or adopting eligible employers with questions concerning the plan should contact the prototype sponsor. The plan's adoption agreement must include the sponsor's address and telephone number for inquiries by adopting employers.

If you write to the IRS regarding this plan, please provide your telephone number and the most convenient time for us to call in case we need more information. Whether you call or write, please refer to the Letter Serial Number and File Folder Number shown in the heading of this letter.

You should keep this letter as a permanent record. Please notify us if you modify or discontinue sponsorship of this plan.

Sincerely Yours,

Karen D. Truss

Karen D. Truss
Director, Employee Plans Rulings and Agreements

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PRINCIPAL FINANCIAL GROUP PROTOTYPE FOR 403(b) PLANS

ADOPTION AGREEMENT - NONSTANDARDIZED FORM

(Use black ink to complete the Adoption Agreement.)

A. This ADOPTION AGREEMENT together with the PRINCIPAL FINANCIAL GROUP 403(b) BASIC PLAN constitutes *(Select (1), (2), or (3).)*

NOTE: The effective date for a new plan must be on or after the date this Adoption Agreement is signed. The effective date for an amendment cannot be earlier than the first day of the Plan Year in which the amended Adoption Agreement is signed.

1) ☐ a new plan. *(Cannot select if spin-off of an existing 403(b) plan. See Item AB(2).)*

2) ☐ a restatement of an existing plan. Except as provided elsewhere in the Plan, the provisions of this restatement are effective on

_____ . *(Month, day and year. Must be no earlier than January 1, 2010.)*

This is the RESTATEMENT DATE. *(Select if not currently on this Plan No. 001, Basic Plan No. 03 with the approval date shown on the cover page.)*

3) ☒ Amendment No. 2 to the Plan. It replaces all prior amendments to the Plan and the first Adoption Agreement. Except as provided elsewhere in the Plan, the provisions of this amendment are effective

on January 15, 2021 . *(Month, day and year. Must be January 1, 2017, or later. Select if currently on this Plan No. 001, Basic Plan No. 03 with the approval date shown on the cover page.)*

4) ☐ The Plan is frozen effective _____ . *(Month, day and year. Must be prospective to comply with Code Section 411(d)(6).)*

NOTE: No Contributions will be made to the Plan and no Employee, former Employee, or Inactive Participant will become an Active Participant after such date.

B. The EMPLOYER is Partners of the Americas, Inc.

_____

_____

(Fill in exact legal name.)

NOTE: To participate in the Principal Financial Group Prototype for 403(b) Plans, the Employer named above must be a Code Section 501(c)(3) organization.

C. The PLAN NAME is Partners of the Americas, Inc. Tax

Sheltered Annuity Plan

_____

_____

_____

(For example: ABC 403(b) Plan.)

NOTE: This Plan is the plan of a Code Section 501(c)(3) organization and is not intended to be a governmental or nonelecting church plan.

The PLAN NUMBER is 001. *(3-digit number used for Form 5500 reporting.)*

D. The Plan's original EFFECTIVE DATE is August 14, 1976 . *(Month, day and year.)*

E. The YEARLY DATE is the first day of each Plan Year. *(Fill in the Effective Date. If this is not a new plan and the Yearly Date has changed more than once, fill in any Yearly Date that is not later than the Restatement Date or amendment effective date.)*

The Yearly Date is January 1, 2003 *(Month, day and year.)* and *(Select one.)*

1) ☒ the same day of each following year.

2) ☐ each following _____ . *(The first Plan Year is short.)*

3) ☐ (a) each following _____ through

(b) _____ and

(c) each following _____. *(A later Plan Year is short. Complete (a) using the same month and day as in Yearly Date above, (b) using the same month and day as in (a) and the calendar year in which the short Plan Year begins, and (c) using the first day of the new Plan Year.)*

If the first date in Item E is after the Effective Date, Yearly Dates before the first date in Item E above shall be determined under the provisions of the (Prior) Plan before that date.

F. The FISCAL YEAR is the Employer's accounting year and ends on December 31 . *(Month and day.)*

G. The EMPLOYER is the NAMED FIDUCIARY, unless otherwise specified in (1) below.

1) ☐ _____

_____

_____

is the Named Fiduciary. *(Neither Principal Life Insurance Company nor its affiliates can be named.)*

H. The Employer is the PLAN ADMINISTRATOR, unless otherwise specified in (1) below.

1) ☐ _____

_____

_____

is the Plan Administrator. *(Neither Principal Life Insurance Company nor its affiliates can be named.)*

If (1) is selected, complete the address, phone number, and tax filing number of the Plan Administrator.

Address _____

_____

_____

Phone No. _____ Tax Filing No. _____

I. PREDECESSOR EMPLOYER AND PRIOR EMPLOYER.

1) A PREDECESSOR EMPLOYER is a firm or organization of which the Employer was once a part (e.g., due to a reorganization) or a firm or organization absorbed by the Employer because of a merger or acquisition. No selections are needed for a Predecessor Employer that maintained this Plan since the Employer is defined as including such Predecessor Employer, and service with the Employer would therefore include service with such Predecessor Employer.

a) ☐ *(Select to count service or pay with a Predecessor Employer that <u>did not</u> maintain this Plan.)* A Predecessor Employer that did not maintain this Plan is deemed to be the Employer for purposes of determining: *(Select at least one.)*

i) ☐ Entry Service

NOTE: The Entry Date for an employee of such Predecessor Employer shall be the earliest Entry Date on or after he has both met the entry requirements and is an Eligible Employee.

ii) ☐ Vesting Service

iii) ☐ Hours of Service required to be eligible for an Employer Contribution

iv) ☐ Pay

NOTE: The crediting of such pay shall be determined on a reasonably uniform basis for all similarly situated Employees based on all relevant facts and circumstances so as not to discriminate in favor of Highly Compensated Employees.

b) ☐ *(Select if service must be continuous.)* Service with or pay from such Predecessor Employer shall be counted only if service continued without interruption.

c) ☐ *(Select if not counted for all such Predecessor Employers.)* Service with or pay from such Predecessor Employer shall be counted only as to a Predecessor Employer that is named below: *(Exact legal name(s).)*

_____

_____

_____

_____

2) A PRIOR EMPLOYER is an Employee's last employer immediately prior to the Employer which is not a Predecessor Employer or a Related Employer, but for which service credit is granted under the Plan. Service with such Prior Employer shall be counted only if service continued without interruption.

a) ☐ *(Select to count service with a Prior Employer.)* The following are Prior Employers for which service credit is granted under the Plan: *(Exact legal name(s).)*

_____

_____

_____

_____

b) Service with such Prior Employer shall be counted for purposes of determining: *(If (a) above is selected, select (i), (ii), or both.)*

i) ☐ Entry Service

NOTE: The Entry Date for an employee of such Prior Employer shall be the earliest Entry Date on or after he has both met the entry requirements and is an Eligible Employee.

ii) ☐ Vesting Service

J. ELIGIBLE EMPLOYEE.

An Eligible Employee is any Employee of the Employer or of an Adopting Employer *(See Item AA.)* who is not excluded below.

(Select requirement(s) in (1) - (6) that apply. Selections may affect testing done to determine if the minimum coverage requirement of Code Section 410(b) is met with regards to Employer Contributions.)

NOTE: If any Employee described in (1) or (2) below is permitted to participate in the Plan, all Employees in such classification must be permitted to participate in the Plan.

1) ☒ For Elective Deferral Contributions, an Employee who normally works less than 20 hours per week. An Employee normally works less than 20 hours per week if: (i) for the 12-month period beginning on the Employee's Hire Date, the Employer reasonably expects the Employee to work less than 1,000 Hours of Service in such period; and (ii) for each Plan Year ending after the close of the 12-month period beginning on the Employee's Hire Date, the Employee worked less than 1,000 Hours of Service in the preceding 12-month period, unless otherwise specified in (a) below.

   a) ☐ The subsequent 12-month periods shall begin on each anniversary of the Employee's Hire Date.

   NOTE: In the event an Employee who is reasonably expected to work less than 1,000 Hours of Service works at least 1,000 Hours of Service in either of the 12-month periods defined above and is not excluded in (2), (3), or (4) below, he shall become an Active Participant on the Entry Date for purposes of Elective Deferral Contributions. (See Item K(4).) Once an Employee works 1,000 Hours of Service in either of the 12-month periods defined above, this exclusion cannot be applied to such Employee in later years.

2) ☐ An Employee who is a student performing services described in Code Section 3121(b)(10).

3) ☐ An Employee who is a nonresident alien, within the meaning of Code Section 7701(b)(1)(B), who receives no earned income, within the meaning of Code Section 911(d)(2), from the Employer that constitutes income from sources within the United States, within the meaning of Code Section 861(a)(3), or who receives such earned income but it is all exempt from income tax in the United States under the terms of an income tax convention.

4) ☐ An Employee who is eligible to participate in a qualified cash or deferred arrangement, as described in Code Section 401(k)(2), or another Code Section 403(b) plan sponsored or maintained by the Employer that provides contributions pursuant to a salary reduction agreement; or a Code Section 457(b) eligible governmental plan, sponsored or maintained by the Employer that permits an amount to be contributed or deferred at the election of the Employee.

5) ☐ For Contributions other than Elective Deferral Contributions, an Employee included in a unit of Employees covered by any collective bargaining agreement between the Employer and employee representatives, if retirement benefits were the subject of good faith bargaining and if two percent or less of the Employees who are covered pursuant to

that agreement are professionals as defined in section 1.410(b)-9 of the Regulations. For this purpose, the term "employee representatives" does not include any organization more than half of whose members are Employees who are owners, officers, or executives of the Employer.

6) ☐ For Contributions other than Elective Deferral Contributions, part-time, temporary, or seasonal Employee. A part-time, temporary, or seasonal Employee is an Employee who is regularly scheduled to work less than 1,000 Hours of Service in an Entry Service Period. In the event such an Employee works at least 1,000 Hours of Service during an Entry Service Period or his employment status changes to full-time, he shall become an Eligible Employee, unless he is otherwise excluded in this item. Hours of Service shall be credited at the end of the Entry Service Period, unless otherwise specified in (a) below.

a) ☐ Hours of Service shall be credited when the Employee has reached the specified number of Hours of Service during the Entry Service Period.

K. ENTRY REQUIREMENTS AND ENTRY DATE.

Service and age requirements for purposes of Elective Deferral Contributions are not permitted. For Contributions other than Elective Deferral Contributions, the following requirements apply.

An Employee is eligible to participate in the Plan in accordance with the provisions specified below. *(Select one item for each grouping (service required and service method and age required). Complete any applicable blanks for items selected. If the hours method for calculating Entry Service is selected, (2)(b) below may be used to modify how service is determined. Select (3) below if waiving age or service requirements for the Employer named in Item B.)*

1) ☒ Entry requirements for Contributions other than Elective Deferral Contributions.

Service Required and Service Method *(See (2) below.)*

☐ None
☐ 1 year *(elapsed time)*
☐ 2 years *(elapsed time)*
☐ 1 year *(hours)*
☐ 2 years *(hours)*
☐ _____ months *(up to 24, elapsed time)*
☒ __90____ days *(up to 120, elapsed time)*

NOTE: Up to two years may be used, 18 months if Entry Date is Yearly Date. The vesting must be 100% if over one year is used or if over 6 months and Entry Date is Yearly Date. If ACP Test Safe Harbor, up to one year may be used.

Age Required

☐ None
☒ ___18___ *(up to 21)*

2) ENTRY SERVICE. Subject to the provisions of Plan Section 1.02, Entry Service shall be determined based on the selection(s) made above and in (b) below, if applicable:

a) ELAPSED TIME METHOD. Entry Service is the total of an Employee's Periods of Service without regard to Hours of Service.

b) HOURS METHOD. A year of Entry Service is an Entry Service Period in which an Employee has at least 1,000 Hours of Service, unless otherwise specified in (i) below.

NOTE: If Item J(6) is selected and the hours method is used in (1) above, the crediting date in Item J(6) and (ii) below must be the same.

i) ☐ _____ (*Up to 999*.) Hours of Service.

ii) CREDITING DATE. A year of Entry Service shall be credited at the end of the Entry Service Period, unless otherwise specified in A below.

A. ☐ A year of Entry Service shall be credited when the Employee has reached the specified number of Hours of Service during the Entry Service Period.

iii) ENTRY SERVICE PERIOD is the consecutive 12-month period beginning on an Employee's Hire Date and the consecutive 12-month period ending on the last day of each following Plan Year, unless otherwise specified in A below. Following Plan Years shall include all Plan Years that begin after his Hire Date. *(See Plan Section 1.02 for the crediting of Entry Service during the first two periods.)*

A. ☐ An Entry Service Period is the consecutive 12-month period beginning on an Employee's Hire Date and each following consecutive 12-month period beginning on an anniversary of that Hire Date.

NOTE: The Entry Service Period for a rehired Employee who terminated employment prior to satisfying the entry requirements is based on his original Hire Date. If the Entry Service Period shifts to the Plan Year and such Employee is rehired after the first anniversary of his original Hire Date, his Entry Service Period shall be the Plan Year.

3) ☐ WAIVING ENTRY REQUIREMENTS. The requirements selected below shall be

waived on _____ . *(Month, day and year.)* This date shall be an Entry Date if the Eligible Employee has met all the other entry requirements. *(Select (a), (b), or both.)*

a) ☐ Service requirement

b) ☐ Age requirement

NOTE: This waiver applies only (i) to the Employer named in Item B and (ii) on the date filled in. Must be the Effective Date or later. See Item AA for the waiver of entry requirements for an Adopting Employer.

4) ENTRY DATE. For purposes of Elective Deferral Contributions, an Employee shall first become an Active Participant on the earliest date on which he is an Eligible Employee, unless otherwise specified in (a) below.

a) ☐ An Eligible Employee shall first become an Active Participant on the earliest Monthly Date on or after the date he is an Eligible Employee.

For purposes of Contributions other than Elective Deferral Contributions, an Employee shall first become an Active Participant on the

☒ Monthly Date

☐ Semi-yearly Date

☐ Quarterly Date

☐ Yearly Date *(age and service required cannot be over 20 1/2 and 18 months, respectively)*

☐ Day the entry requirements are satisfied

L. HIGHLY COMPENSATED EMPLOYEE AND TESTING METHODS.

1) HIGHLY COMPENSATED EMPLOYEE. The definition of Highly Compensated Employee in Plan Section 1.02 is modified below. *(Select any that apply.)*

a) ☐ TOP-PAID GROUP ELECTION. *(Select to limit the number of Highly Compensated Employees to the top 20% of employees based on compensation (top-paid group).)* In determining who is a Highly Compensated Employee, the Employer makes a top-paid group election. The effect of this election is that an Employee with compensation in excess of $120,000 (as adjusted) for the look-back year is a Highly Compensated Employee only if the Employee was in the top-paid group for the look-back year.

b) ☐ CALENDAR YEAR DATA ELECTION. *(Select to change the look-back year for compensation determination. This election has no effect if the Plan Year begins on January 1.)* In determining who is a Highly Compensated Employee, the Employer makes a calendar year data election. The effect of this election is that the look-back year is the calendar year beginning with or within the look-back year.

NOTE: These elections must apply consistently to the determination years of all plans of the Employer except as provided in the definition of Highly Compensated Employee in Plan Section 1.02.

2) TESTING METHODS. This Plan shall use the prior year testing method for purposes of the ACP Test, unless otherwise specified in (a) below.

a) ☒ *(Must be selected if ACP Test Safe Harbor.)* This Plan shall use the current year testing method for purposes of the ACP Test.

NOTE: The above election cannot be changed from the current year testing method to the prior year testing method for a Plan Year unless (i) the Plan has been using the current year testing method for the preceding five Plan Years or, if less, the number of Plan Years the Plan has been in existence or (ii) if, as a result of a merger or acquisition described in Code Section 410(b)(6)(C)(i), the Employer maintains both a plan using the prior year testing method and a plan using the current year testing method and the change is made within the transition period described in Code Section 410(b)(6)(C)(ii).

b) If this is not a successor plan and the Plan is using the prior year testing method, for the first Plan Year this Plan permits any Participant to make Voluntary Contributions, provides for Matching Contributions, or both, the prior year's Nonhighly Compensated Employees' ACP, as defined in Plan Section 3.08, shall be three percent, unless otherwise specified in (i) below.

i) ☐ *(Cannot be used with (a) above.)* The Plan Year's ACP, as defined in Plan Section 3.08, shall be used for the Nonhighly Compensated Employees' ACP.

M. PAY.

NOTE: Pay is used for the ACP Test and for contribution determinations.

1) Pay is defined in Plan Section 1.02, subject to any modifications set forth in this Item M. For purposes of defining Pay in Plan Section 1.02, the definition under Information Required to be Reported Under Code Sections 6041, 6051, and 6052 ("Wages, Tips and Other Compensation" box on Form W-2) shall apply, unless otherwise specified in (a) or (b) below.

a) ☐ The definition under Code Section 3401(a) Wages shall apply.

b) ☐ The definition under Simplified 415 Compensation shall apply.

2) CODE SECTION 414(s) SAFE HARBOR EXCLUSIONS. For the purpose of calculating Elective Deferral Contributions and Matching Contributions <u>only</u>, Pay shall exclude reimbursements or other expense allowances, fringe benefits (cash and noncash), moving expenses, deferred compensation (other than elective contributions), and welfare benefits, unless otherwise specified in (a) or (b) below.

a) ☐ DO NOT EXCLUDE. Such amounts shall <u>not</u> be excluded from the Pay used for the ACP Test and all contribution determinations that use Pay, including Elective Deferral Contributions and Matching Contributions.

b) ☐ EXCLUDE FOR ALL. Such amounts shall be excluded from the Pay used for the ACP Test and all contribution determinations that use Pay, including Elective Deferral Contributions and Matching Contributions.

3) ANNUAL PAY for a Plan Year is an Employee's Pay for the Pay Year ending with or within the consecutive 12-month period ending on the last day of the Plan Year. *(Annual Pay is used for calculating annual contributions and annual allocations of Qualified Nonelective Contributions, Additional Contributions, and Discretionary Contributions. Annual Pay is not used for the Qualified Nonelective Contributions used to satisfy the ACP Test Safe Harbor described in Item O.)*

The PAY YEAR is the consecutive 12-month period ending on the last day of each Plan Year, unless otherwise specified in (a) below.

a) ☐ The Pay Year is the consecutive 12-month period ending on each

_____. *(Month and day.)* For an Employee whose Hire Date is less than 12 months before the end of the consecutive 12-month period designated, Pay shall be determined over the consecutive 12-month period ending on the last day of the Plan Year.

ANNUAL PAY MODIFICATIONS: *(Select any that apply.)*

b) ☐ Annual Pay shall not include Pay over $ _____ .

c) ☐ *(Cannot use with (a) above.)* Annual Pay shall exclude Pay for the portion of the Pay Year in which an Employee is not an Active Participant.

4) ☐ In addition to the Code Section 414(s) safe harbor exclusions in (2) above, if applicable, Pay for purposes of determining the allocation or amount of: *(Select at least one.)*

a) ☐ (*Cannot use if ACP Test Safe Harbor. Cannot use if maximum Elective Deferral Contribution is selected in Item N(2).)* Elective Deferral Contributions and Matching Contributions *(Exclusions for Matching Contributions <u>only</u> is not permitted.)*

b) ☐ (*Cannot select if ACP Test Safe Harbor is satisfied using Qualified Nonelective Contributions, Item O(1)(b) or O(2).)* Qualified Nonelective Contributions

c) ☐ Additional Contributions

d) ☐ Discretionary Contributions

excludes: *(Select at least one.)*

e) ☐ bonuses

f) ☐ commissions

g) ☐ overtime

h) ☐ other special pay *(Specify type of pay.)*

_____

_____

_____

_____

_____

_____

_____

_____

_____

_____

NOTE: Exclusions for purposes of determining Contributions other than Elective Deferral Contributions may require Code Section 414(s) nondiscrimination testing. Exclusions for purposes of determining Elective Deferral Contributions may put the Plan at risk of not satisfying universal availability.

5) ☐ For purposes of the ACP Test, Pay shall be determined excluding Pay for the portion of the Plan Year in which an Employee is not an Eligible Participant, as defined in Plan Section 3.08.

6) NO PAY LIMIT FOR DEFERRALS. Elective Deferral Contributions may be made with respect to Pay that exceeds the annual pay limit in the definition of Pay in Plan Section 1.02, provided such Elective Deferral Contributions otherwise satisfy any applicable limitations, unless otherwise specified in (a) below.

   a) ☐ Elective Deferral Contributions cannot be made with respect to Pay that exceeds the annual pay limit.

N. ELECTIVE DEFERRAL CONTRIBUTIONS.

Elective Deferral Contributions for a Participant are equal to a portion of Pay as specified in an Elective Deferral Agreement. Such Elective Deferral Contribution shall not be made before the later of (i) the adoption or effective date of the tax deferred annuity provisions of Code Section 403(b) or (ii) the date the Participant signs the Elective Deferral Agreement. An Employee who is eligible to participate in the Plan for purposes of Elective Deferral Contributions may file an Elective Deferral Agreement with the Employer. The Participant shall modify or terminate an Elective Deferral Agreement by filing a new Elective Deferral Agreement. An Elective Deferral Agreement shall remain in effect until modified or terminated by the Participant. An Elective Deferral Agreement may also be terminated according to the terms of an automatic contribution arrangement.

An Elective Deferral Agreement to start or modify Elective Deferral Contributions shall be effective as soon as administratively feasible on or after the Participant's Entry Date (Reentry Date, if applicable) or any following change date.

An Elective Deferral Agreement to start or modify Elective Deferral Contributions must be entered into on or before the date it is effective.

An Elective Deferral Agreement to stop Elective Deferral Contributions may be entered into on any date. Such Elective Deferral Agreement shall be effective as soon as administratively feasible following the date on which the Elective Deferral Agreement is entered into.

Unless an Elective Deferral Agreement is otherwise revised, if an Active Participant is absent from work due to a leave of absence, Elective Deferral Contributions shall continue to the extent that Pay continues for such person.

1) The change date to increase or decrease the amount of Elective Deferral Contributions shall be any date, unless otherwise specified in (a), (b), (c), or (d) below. *(Select one, if applicable.)*

   a) ☐ Monthly Date.

   b) ☒ Quarterly Date.

   c) ☐ Semi-yearly Date.

   d) ☐ Yearly Date.

   However, the change date for purposes of bonuses shall be any date, unless otherwise specified in (e) below.

   e) ☐ A separate change date for bonuses shall not be available.

2) ☐ _____ % *(Must be at least equal to any stated percent of Pay limit on Elective Deferral Contributions matched. Cannot use if pay exclusions in Item M(4)(a) is selected.)* of Pay is the maximum Elective Deferral Contribution.

   NOTE: If the Plan allows Age 50 Catch-up Contributions and the percent of Pay maximum is less than 75%, the maximum will not apply to a Participant who is eligible to make Age 50 Catch-up Contributions unless his Elective Deferral Contributions, including Age 50 Catch-up Contributions, exceeds the maximum percent of Pay plus the dollar limitation on Age 50 Catch-up Contributions described in Plan Section 3.01.

3) CATCH-UP CONTRIBUTIONS *(Select (a), (b), or both).*

   a) ☒ SPECIAL SECTION 403(b) CATCH-UP. A Qualified Employee of a Qualified Organization may make Special Section 403(b) Catch-up Contributions.

b) ☒ AGE 50 CATCH-UP. All Employees who are eligible to make Elective Deferral Contributions and who are age 50 or older by the end of their taxable year shall be eligible to make Age 50 Catch-up Contributions.

NOTE: If a Participant is eligible for both the Special Section 403(b) Catch-up Contributions and the Age 50 Catch-up Contributions, the Special Section 403(b) Catch-up Contributions shall be applied first, unless the data is not available to support the calculation, in which case the Age 50 Catch-up Contributions shall apply only.

Catch-up Contributions are matched unless Item P(5)(a) is selected.

4) ☒ ROTH ELECTIVE DEFERRAL CONTRIBUTIONS. All Participants who are eligible to make Elective Deferral Contributions may elect to designate all or any portion of their future Elective Deferral Contributions as Roth Elective Deferral Contributions.

Distributions of Excess Amounts described in Plan Section 3.08 from the portion of the Participant's Account resulting from Elective Deferral Contributions shall be made on a pro rata basis from the Participant's Account resulting from Pre-tax Elective Deferral Contributions and Roth Elective Deferral Contributions in the same proportion that such Contributions were made for the applicable year, except as otherwise specified in (a) below.

a) ☐ The Participant may elect a different order for distributions.

5) ☐ AUTOMATIC CONTRIBUTION ARRANGEMENT (ACA). *(Only available if EACA in (6) below is not selected.)* The Employer elects to have the ACA provisions (including the annual notice requirements) described in Plan Section 3.01 apply.

The Plan provides for an automatic election to have Elective Deferral Contributions made for the Participants specified in (c) and (d) below. The automatic Elective Deferral Contributions shall be Pre-tax Elective Deferral Contributions in an amount specified in (a) below. The Participant will be given a reasonable period to affirmatively elect a different percentage, to elect not to make Elective Deferral Contributions, and if Roth Elective Deferral Contributions are permitted in (4) above, to elect to designate all or any portion of their Elective Deferral Contributions as Roth Elective Deferral Contributions.

a) AUTOMATIC ELECTIVE DEFERRAL CONTRIBUTION. The automatic Elective Deferral Contribution shall be 6% of Pay, unless otherwise specified in (i) below.

i) ☐ _____% of Pay shall be the automatic Elective Deferral Contribution.

b) AUTOMATIC INCREASE. The automatic Elective Deferral Contribution shall increase as described in (i) below, unless an election is made in (ii) below to not include an automatic increase.

i) The automatic Elective Deferral Contribution shall increase by 1% as soon as administratively feasible on or after each subsequent Yearly Date up to a maximum automatic Elective Deferral Contribution of 16%, unless a different automatic increase percentage, increase date, or maximum is specified in A, B, or C below. *(Select any that apply.)*

A. ☐ _____% *(Must be a whole percent.)* of Pay shall be the automatic increase percentage.

B. ☐ The increase date shall be _____ . *(Month and day.)*

C. ☐ _____% of Pay shall be the maximum automatic Elective Deferral Contribution.

ii) ☐ An automatic increase shall not apply.

c) APPLICATION OF ACA PROVISIONS. The automatic Elective Deferral Contribution shall apply to Participants at the time they enter or reenter the Plan. It may also apply to current Participants as specified in (i), (ii), or (iii) below.

i) ☐ APPLY TO CURRENT PARTICIPANTS WHEN ACA IS ESTABLISHED. If an ACA is added after the Plan's original Effective Date, the automatic Elective Deferral Contribution shall also apply to all Active Participants as of the date the ACA is added who *(Select A, B, or C.)*

A. ☐ are deferring less than 6% (or the percentage in (a)(i) above, if applicable) or who are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

B. ☐ are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

C. ☐ have not completed an Elective Deferral Agreement.

ii) ☐ ANNUAL REENROLLMENT. The automatic Elective Deferral Contribution

shall apply to all Active Participants on each _____ *(Month and day.)* who *(Select A or B.)*

A. ☐ are deferring less than 6% (or the percentage in (a)(i) above, if applicable) or who are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

B. ☐ are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

iii) ☐ APPLY TO CURRENT PARTICIPANTS AFTER THE DATE THE ACA WAS ESTABLISHED. The automatic Elective Deferral Contribution shall also apply to all Active Participants as of the effective date of the amendment to apply the ACA provisions to current Participants who, as of such date, *(Select A or B.)*

A. ☐ are deferring less than 6% (or the percentage in (a)(i) above, if applicable) or who are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

B. ☐ are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

d) APPLICATION OF ACA PROVISIONS WHEN AUTOMATIC ELECTIVE DEFERRAL CONTRIBUTION CHANGED. Amendments to the automatic Elective Deferral Contribution shall apply as described in (i) and (ii) below.

i) INCREASES. An amendment that increases the amount of the automatic Elective Deferral Contribution in (a) or (b) above shall apply to Participants as follows. The higher percentage shall apply to Participants at the time they enter or reenter the Plan on or after the effective date of such amendment and to Participants who were automatically enrolled under the ACA provisions as of the effective date of such amendment, unless otherwise specified in A below.

A. ☐ The higher percentage shall only apply to Participants at the time they enter or reenter the Plan on or after the effective date of such amendment.

ii) DECREASES. An amendment that decreases the amount of the automatic Elective Deferral Contribution in (a) or (b) above shall only apply to Participants at the time they enter or reenter the Plan on or after the effective date of such amendment. The lower percentage shall not apply to any Participants who were automatically enrolled under the ACA provisions prior to the effective date of such amendment.

6) ☐ ELIGIBLE AUTOMATIC CONTRIBUTION ARRANGEMENT (EACA). *(Only available if ACA in (5) above is not selected.)* The Employer elects to have the EACA provisions (including the annual notice requirements) described in Plan Section 3.10 apply.

NOTE: The effective date for electing to apply the EACA provisions must be the beginning of a Plan Year.

The Plan provides for an automatic election to have Elective Deferral Contributions made for the Participants specified in (c) below. The automatic Elective Deferral Contributions shall be Pre-tax Elective Deferral Contributions in an amount specified in (a) below. The Participant will be given a reasonable period to affirmatively elect a different percentage, to elect not to make Elective Deferral Contributions, and if Roth Elective Deferral Contributions are permitted in (4) above, to elect to designate all or any portion of their Elective Deferral Contributions as Roth Elective Deferral Contributions.

a) AUTOMATIC ELECTIVE DEFERRAL CONTRIBUTION. The automatic Elective Deferral Contribution shall be 6% of Pay, unless otherwise specified in (i) below.

i) ☐ ____% of Pay shall be the automatic Elective Deferral Contribution.

b) AUTOMATIC INCREASE. The automatic Elective Deferral Contribution shall increase as described in (i) below, unless an election is made in (ii) below to not include an automatic increase.

i) The automatic Elective Deferral Contribution shall increase by 1% as soon as administratively feasible on or after each subsequent Yearly Date up to a maximum automatic Elective Deferral Contribution of 16%, unless a different increase percentage, increase date, or maximum is specified in A, B, or C below. *(Select any that apply.)*

A. ☐ ____ % *(Must be a whole percent.)* of Pay shall be the automatic increase percentage.

B. ☐ The increase date shall be _____ . *(Month and day.)*

C. ☐ ____ % of Pay shall be the maximum automatic Elective Deferral Contribution.

ii) ☐ An automatic increase shall not apply.

c) APPLICATION OF EACA PROVISIONS. The automatic Elective Deferral Contribution shall apply to Participants at the time they enter or reenter the Plan.

If an EACA is added after the Plan's original Effective Date, the automatic Elective Deferral Contribution shall also apply to all Active Participants as of the date the EACA is added who *(Select (i), (ii), or (iii).)*

i) ☐ are deferring less than 6% (or the percentage in (a)(i) above, if applicable) or who are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

ii) ☐ are not deferring (have not completed an Elective Deferral Agreement or elected to defer 0%).

iii) ☐ have not completed an Elective Deferral Agreement.

d) Permissible Withdrawals are permitted, unless otherwise specified in (i) below.

i) ☐ Permissible Withdrawals are not permitted.

O. ☐ ACP TEST SAFE HARBOR. *(Only available if the Plan permits Matching Contributions in (1)(a) below or in Item P and the ACP Test Safe Harbor limits on Matching Contributions are met.)* The Plan is an ACP Test Safe Harbor Plan and the ACP Test Safe Harbor provisions (including the annual notice requirements) described in Plan Section 3.09 apply. *(Select (1) or (2). Select (3), if applicable.)*

NOTE: Electing to no longer have the ACP Test Safe Harbor provisions apply must be effective at the beginning of the Plan Year, except as provided in (a)(v) or (b)(iii) below.

1) ☐ CONTRIBUTIONS FOR ALL PLAN YEARS. *(Any changes to the selections or contribution formulas under this (1) must be effective at the beginning of the Plan Year, except as provided in (a)(v) or (b)(iii) below.)* The Employer will make the ACP Test Safe Harbor Contributions for all Plan Years. *(Select (a) or (b).)*

NOTE: The safe harbor contribution selected below can only be removed during a Plan Year if the Employer is operating at an economic loss described in Code Section 412(c) for such Plan Year, or the annual notice included a statement that the Plan may be amended during the Plan Year to revoke the safe harbor contribution.

a) ☐ QUALIFIED MATCHING CONTRIBUTIONS. The ACP Test Safe Harbor shall be satisfied using Qualified Matching Contributions. The amount of the Qualified Matching Contributions shall be equal to *(Select (i) or (ii).)*

i) ☐ BASIC MATCHING FORMULA. 100% of Elective Deferral Contributions that are not over 3% of Pay, plus 50% of Elective Deferral Contributions which are over 3% but are not over 5% of Pay.

ii) ☐ ENHANCED MATCHING FORMULA. 100% of Elective Deferral Contributions that are not over 4% of Pay, unless otherwise specified in A or B below.

A. ☐ STATED MATCH. *(Complete (1) and (2). For example: 100% of Elective Deferral Contributions that are not over 5% of Pay.)*

1) _____ % of Elective Deferral Contributions that are not over

2) _____ % of Pay.

NOTE: Must complete (1) using at least 100%. The product of the percentages in (1) and (2) must equal at least 4%. For example, 100% x 5% = 5% or 150% x 3% = 4.5%. Must complete (2) with a percentage not more than 6%.

B. ☐ STATED TIERED MATCH. *(Complete (1) through (4). For example: 100% of Elective Deferral Contributions that are not over 4% of Pay, plus 50% of Elective Deferral Contributions that are over 4% but are not over 6% of Pay.)*

1) _____ % of Elective Deferral Contributions that are not over

2) _____ % of Pay, plus *(First limit on Elective Deferral Contributions.)*

3) _____ % *(Must be less than (1).)* of Elective Deferral Contributions that are over the percentage of Pay specified in (2) but are not over

4) _____ % *(Must be more than (2).)* of Pay. *(Second limit on Elective Deferral Contributions.)*

NOTE: Must complete (1) using at least 100%. The product of the percentages in (1) and (2) must equal at least 3%. In addition, if the product of the percentages in (1) and (2) does not equal at least 4%, (3) must be completed using at least 50% and, using the percentages in (1), (2), (3), and (4), the sum of [((4) – (2)) x (3)] and [(1) x (2)] must equal at least 4%. Must complete (2) with a percentage less than 6% and (4) with a percentage not more than 6%.

iii) CALCULATION PERIOD. Qualified Matching Contributions are calculated based on Elective Deferral Contributions and Pay for the period specified below, unless otherwise modified in E below. *(Refers to calculation of the amount of Qualified Matching Contributions, <u>not</u> when contributed. Select A, B, C, or D. Select E, if applicable.)*

A. ☐ PAYROLL PERIOD. Qualified Matching Contributions shall be made for all persons who were Active Participants at any time during that payroll period.

B. ☐ PAYROLL PERIODS ENDING WITH OR WITHIN EACH MONTH. Qualified Matching Contributions shall be made for all persons who were Active Participants at any time during the month.

C. ☐ PAYROLL PERIODS ENDING WITH OR WITHIN EACH PLAN-YEAR QUARTER. Qualified Matching Contributions shall be made for all persons who were Active Participants at any time during the Plan-year Quarter.

NOTE: If A, B, or C is selected, Qualified Matching Contributions must be contributed to the Plan by the last day of the following Plan-year Quarter.

D. ☐ PLAN YEAR. Qualified Matching Contributions shall be made for all persons who were Active Participants at any time during the Plan Year.

The calculation periods in B, C, or D above are modified as follows:

E. ☐ BASED ON DEFERRALS AND PAY WHILE ACTIVE. *(Only available if B, C, or D above is selected.)* Qualified Matching Contributions shall be calculated excluding Elective Deferral Contributions and Pay for any portion of the month, Plan-year Quarter, or Plan Year, whichever applies, in which an Employee is not an Active Participant for purposes of Matching Contributions.

iv) ☐ Qualified Matching Contributions shall be made only for Nonhighly Compensated Employees.

v) ☐ The ACP Test Safe Harbor election and the corresponding Qualified Matching Contributions shall be revoked as of

_____ . *(Month, day and year.)* Such date cannot be earlier than the later of (i) 30 days after the date Active Participants are given the supplemental notice described in Plan Section 3.09(e) and (ii) the date the amendment revoking

such provisions is adopted. Qualified Matching Contributions shall be made for the period prior to the revocation.

b) ☐ QUALIFIED NONELECTIVE CONTRIBUTIONS. The ACP Test Safe Harbor shall be satisfied using Qualified Nonelective Contributions.

The amount of the Qualified Nonelective Contributions shall be equal to

_____% *(Must be at least 3%.)* of Pay for the Plan Year for persons who were Active Participants at any time during the Plan Year, unless otherwise specified in (i) and (ii) below. *(The Pay used for these Contributions is not necessarily the same as Annual Pay defined in Item M. Select any that apply.)*

i) ☐ Pay shall be determined excluding Pay for the portion of the Plan Year in which an Employee is not an Active Participant.

ii) ☐ Qualified Nonelective Contributions shall be made only for Nonhighly Compensated Employees.

iii) ☐ The ACP Test Safe Harbor election and the corresponding Qualified Nonelective Contributions shall be revoked as of

_____ . *(Month, day and year.)* Such date cannot be earlier than the later of (i) 30 days after the date Active Participants are given the supplemental notice described in Plan Section 3.09(e) and (ii) the date the amendment revoking such provisions is adopted. Qualified Nonelective Contributions shall be made with respect to Pay paid through the effective date of the revocation.

2) ☐ CONTRIBUTIONS FOR PLAN YEARS IN WHICH THE PLAN IS AMENDED. The Employer may amend the Plan to provide a Qualified Nonelective Contribution to satisfy the ACP Test Safe Harbor for a Plan Year.

3) ☐ PLAN IS AMENDED. *(Only available if (2) above is selected.)* The Plan is amended to provide a Qualified Nonelective Contribution for the Plan Year

beginning _____ . *(Month, day and year.)*

a) The amount of the Qualified Nonelective Contributions for such Plan Year shall

be equal to _____ % *(Must be at least 3%.)* of Pay for the Plan Year for persons who were Active Participants at any time during the Plan Year, unless otherwise specified in (i) and (ii) below. *(The Pay used for these Contributions is not necessarily the same as Annual Pay defined in Item M. Select any that apply.)*

i) ☐ Pay shall be determined excluding Pay for the portion of the Plan Year in which an Employee is not an Active Participant.

ii) ☐ Qualified Nonelective Contributions shall be made only for Nonhighly Compensated Employees.

P. [x] MATCHING CONTRIBUTIONS. *(Cannot select if ACP Test Safe Harbor is satisfied using Qualified Matching Contributions. If satisfying ACP Test Safe Harbor using Qualified Nonelective Contributions, Matching Contributions must be limited as noted below.)* Any percentage determined by the Employer shall apply to all eligible persons for the entire Plan Year. *(Select (1), (2), or (3).)*

NOTE: Consider using the current year testing method if the Plan is being amended to add Matching Contributions back into the Plan.

1) [ ] STATED MATCH. The Employer shall make Matching Contributions. The percentage of

Elective Deferral Contributions matched is _____ %.

2) [ ] STATED TIERED MATCH. The Employer shall make Matching Contributions in an amount equal to *(Complete (a) through (d). For example: 100% of Elective Deferral Contributions that are not over 3% of Pay, plus 50% of Elective Deferral Contributions that are over 3% but are not over 5% of Pay.)*

a) _____ % of Elective Deferral Contributions that are not over

b) _____ % of Pay, plus *(First limit on Elective Deferral Contributions.)*

c) _____ % *(Must be less than (a).)* of Elective Deferral Contributions that are over the percentage of Pay specified in (b) but are not over

d) _____ % *(Must be more than (b).)* of Pay. *(Second limit on Elective Deferral Contributions.)*

NOTE: If satisfying ACP Test Safe Harbor, must complete (b) with a percentage less than 6% and (d) with a percentage not more than 6%.

3) [x] DISCRETIONARY MATCH. The Employer may make a discretionary Matching Contribution. The percentage of Elective Deferral Contributions matched, if any, shall be a percentage determined by the Employer and shall apply to all eligible persons for the entire Plan Year. *(Select any that apply. If both (a) and (b) are selected, the percentage in (b) must be more than the percentage in (a).)*

a) [ ] The Employer shall make a discretionary Matching Contribution. The percentage of

Elective Deferral Contributions matched shall be at least _____ %.

b) [ ] If the Employer makes a discretionary Matching Contribution, the percentage of

Elective Deferral Contributions matched shall not be more than _____ %.

4) [x] LIMIT ON ELECTIVE DEFERRALS MATCHED. *(Cannot use with (2) above. Limit could help pass the ACP Test for a Plan that is not satisfying the ACP Test Safe Harbor.)*

Elective Deferral Contributions that are over the percentage of Pay below won't be matched. *(Select (a) or (b).)*

NOTE: If satisfying ACP Test Safe Harbor, Elective Deferral Contributions over 6% of Pay won't be matched and the maximum discretionary Matching Contribution for a Participant will not be more than 4% of Pay. To meet this requirement, if (1) or (3) above is used, (a) or (b)(ii) must be selected and completed with a percentage not more than 6% (if (3)(a) above is completed with a percentage greater than 66%, 6% is reduced to the percentage that when multiplied by the percentage in (3)(a) equals 4%).

a) ☐ _____ % of Pay.

b) ☒ A percentage determined by the Employer. *(Select any that apply. If both (i) and (ii) are selected, the percentage in (ii) must be more than the percentage in (i).)*

i) ☐ The percentage shall be at least _____ %.

ii) ☐ The percentage shall not be more than _____ %.

5) CATCH-UP CONTRIBUTIONS MATCHED. If Catch-up Contributions are permitted in Item N(3), all Elective Deferral Contributions shall be matched, unless otherwise specified in (a) below.

a) ☐ NO MATCH ON CATCH-UP CONTRIBUTIONS. *(Cannot use if satisfying ACP Test Safe Harbor.)* Elective Deferral Contributions that are Catch-up Contributions shall not be matched.

6) CALCULATION PERIOD. Matching Contributions are calculated based on Elective Deferral Contributions and Pay for the period specified below, unless otherwise modified in (e) below. *(Refers to calculation of the amount of Matching Contribution, <u>not</u> when contributed. Select (a), (b), (c), or (d). Select (e), if applicable.)*

a) ☒ PAYROLL PERIOD. Matching Contributions shall be made for all persons who were Active Participants at any time during that payroll period.

b) ☐ PAYROLL PERIODS ENDING WITH OR WITHIN EACH MONTH. Matching Contributions shall be made for all persons who were Active Participants at any time during the month.

c) ☐ PAYROLL PERIODS ENDING WITH OR WITHIN EACH PLAN-YEAR QUARTER. Matching Contributions shall be made for all persons who were Active Participants at any time during the Plan-year Quarter.

d) ☐ PLAN YEAR. Matching Contributions shall be made for all persons who were Active Participants at any time during the Plan Year, unless otherwise specified in (i) below.

i) ☐ *(Cannot use if satisfying ACP Test Safe Harbor.)* Matching Contributions shall be made for persons meeting the requirements in Item R.

NOTE: If satisfying ACP Test Safe Harbor and (a), (b), or (c) is selected, Matching Contributions must be contributed to the Plan by the last day of the following Plan-year Quarter.

The calculation periods in (b), (c), or (d) above are modified as follows:

e) ☐ BASED ON DEFERRALS AND PAY WHILE ACTIVE. *(Only available if (b), (c), or (d) above is selected.)* Matching Contributions shall be calculated excluding Elective Deferral Contributions and Pay for any portion of the month, Plan-year Quarter, or Plan Year, whichever applies, in which an Employee is not an Active Participant for purposes of Matching Contributions.

7) ☐ ADDITIONAL MATCH. *(Only available if (1) or (3) above is selected. Cannot use if satisfying ACP Test Safe Harbor.)* The Employer may make additional Matching Contributions if the total Matching Contributions determined below are greater than the amount of Matching Contributions determined in (1) or (3) above for the Plan Year. Additional Matching Contributions, if any, shall be made for all persons who were Active Participants at any time during the Plan Year, unless otherwise specified in (a) below.

a) ☐ Additional Matching Contributions shall be made for persons meeting the requirements in Item R.

NOTE: If the requirements for Contributions in Item R are not each person who was an Active Participant at any time during the Plan Year, selecting (a) will require testing to determine if the nondiscrimination requirement of Code Section 401(a)(4) is met, unless (6)(d)(i) above is also selected.

Total Matching Contributions for the Plan Year shall be a percentage of Elective Deferral Contributions. If (6)(e) above is not selected, total Matching Contributions for the Plan Year shall be calculated based on Elective Deferral Contributions and Pay for the Plan Year. If (6)(e) above is selected, total Matching Contributions for the Plan Year shall be calculated based on Elective Deferral Contributions and Pay for the Plan Year, excluding any portion of the Plan Year in which an Employee is not an Active Participant. The percentage shall be determined by the Employer. If (1) above is selected, the percentage determined must be equal to or greater than the percentage specified in (1). If (3) above is selected, the percentage determined must be equal to or greater than the percentage determined in (3).

If (4) above is selected, Elective Deferral Contributions that are over a percentage of Pay won't be matched. The percentage is the percentage specified in (4)(a), determined in (4)(b), or a greater percentage as determined by the Employer.

The amount of additional Matching Contributions, if any, shall be calculated by subtracting the Matching Contributions determined in (1) or (3) above for the Plan Year from total Matching Contributions for the Plan Year.

8) ☐ LIMITED TO NONHIGHLY COMPENSATED EMPLOYEES. Matching Contributions shall be made only for Nonhighly Compensated Employees.

9) ☐ QUALIFIED MATCH. Matching Contributions are Qualified Matching Contributions.

10) ☐ DOLLAR LIMIT. *(Cannot use if satisfying ACP Test Safe Harbor.)* $ _____ is the maximum Matching Contribution for a person for the Plan Year.

Q. OTHER EMPLOYER CONTRIBUTIONS AND FORFEITURES.

NOTE: All of the contribution and allocation formulas in this Item Q are design-based safe harbors under Code Section 401(a)(4), unless selections are made in Item M or R that are specifically identified as requiring nondiscrimination testing. Additionally, if more than one Employer Contribution is selected in this Item Q, the requirements to receive each Contribution selected should be the same. Providing different requirements will require testing to determine if the nondiscrimination requirement of Code Section 401(a)(4) is met. For example, a Qualified Nonelective Contribution made to each person who is an Active Participant on the last day of the payroll period and a Discretionary Contribution allocated to each person who was an Active Participant at any time during the Plan Year will require nondiscrimination testing. If the ACP Test Safe Harbor is satisfied using Qualified Nonelective Contributions, Item O(1)(b) or O(2), the Additional Contributions and Discretionary Contributions selected under this item should be made for or allocated to each person who is an Active Participant at any time during the Plan Year to avoid nondiscrimination testing.

1) ☐ QUALIFIED NONELECTIVE CONTRIBUTIONS. *(Cannot select if ACP Test Safe Harbor is satisfied using Qualified Nonelective Contributions, Item O(1)(b) or O(2).)* The amount of the Qualified Nonelective Contributions shall be equal to the amount determined in (a), (b), or (d) below. *(Select at least one of (a), (b), or (d). Only one of (a) or (b) may be selected. Select (c), if applicable.)*

a) ☐ SET AMOUNT, PAY FORMULA. The Employer shall make Qualified Nonelective Contributions in an amount equal to *(Select one.)*

i) ☐ _____ % of Pay for the payroll period for each person who is an Active Participant on the last day of that period.

ii) ☐ _____ % of Annual Pay for the Plan Year for persons who meet the requirements in Item R.

iii) ☐ _____ % of Annual Pay for the Plan Year for persons who were Active Participants at any time during the Plan Year.

b) ☐ DISCRETIONARY, PAY FORMULA. Qualified Nonelective Contributions may be made for each Plan Year in an amount determined by the Employer. The amount allocated to each eligible person shall be equal to the Qualified Nonelective Contributions multiplied by the ratio of such person's Annual Pay for the Plan Year to the total Annual Pay of all such persons. The Qualified Nonelective Contributions shall be allocated to each person meeting the requirements in Item R, unless otherwise specified in (i) or (ii) below.

i) ☐ The Qualified Nonelective Contributions shall be allocated to each person who was an Active Participant at any time during the Plan Year.

ii) ☐ The Qualified Nonelective Contributions shall be allocated to each person who is an Active Participant on the last day of the Plan Year.

c) ☐ *(Only available if (a) or (b) is selected above.)* Qualified Nonelective Contributions in (a) or (b) above shall be made only for, or allocated only to, Nonhighly Compensated Employees.

d) ☐ DISCRETIONARY, BOTTOM UP. *(Only available if the current year testing method is selected in Item L(2)(a) and safe harbor matching contributions in Item O(1)(a) is not selected.)* Qualified Nonelective Contributions may be made for each Plan Year in an amount determined by the Employer, but not to exceed 5% of the sum of all eligible person's Pay. For purposes of this limit, Pay shall be the Pay used for purposes of the ACP Test for such Plan Year. If (a) or (b) above is selected, these Qualified Nonelective Contributions are in addition to those specified in (a) or (b). If the Plan is treated as separate plans because it is mandatorily disaggregated under the regulations of Code Section 410(b), a separate Qualified Nonelective Contribution may be determined for each separate plan.

These Qualified Nonelective Contributions may be used to reduce the Excess Aggregate Contributions, as defined in Plan Section 3.08. Such Contributions shall be allocated first to the eligible person under the Plan (or separate plan) with the lowest Pay used for purposes of the ACP Test for such Plan Year, then to the eligible person under the Plan (or separate plan) with the next lowest Pay, and so forth, in each case subject to applicable limits of Plan Section 3.07. Such allocation shall not exceed 5% of such person's Pay used for purposes of the ACP Test for such Plan Year. *(See Plan Section 3.08.)* These Qualified Nonelective Contributions shall be allocated only to Nonhighly Compensated Employees who meet the requirements in Item R, unless otherwise specified in (i) or (ii) below.

i) ☐ These Qualified Nonelective Contributions shall be allocated only to Nonhighly Compensated Employees who were Active Participants at any time during the Plan Year.

ii) ☐ These Qualified Nonelective Contributions shall be allocated only to Nonhighly Compensated Employees who are Active Participants on the last day of the Plan Year.

2) ☐ ADDITIONAL CONTRIBUTIONS. The Employer shall make Additional Contributions equal to the following: *(Select (a) or (b).)*

a) ☐ PERCENT OF PAY FORMULA. An amount equal to *(Select (i) or (ii).)*

i) ☐ _____ % of Pay for the payroll period for each person who is an Active Participant on the last day of that period.

ii) ☐ _____ % of Annual Pay for the Plan Year for persons who meet the requirements in Item R.

b) ☐ DOLLAR AMOUNT SERVICE FORMULA. An amount equal to *(Select one.)*

i) ☐ $ _____ for the payroll period for each person who is an Active Participant on the last day of that period.

ii) ☐ $ _____ for the Plan Year for persons who meet the requirements in Item R.

iii) ☐ $ _____ for each Hour of Service he has performed during the payroll period for each person who was an Active Participant during that period. *(No contribution for paid nonworking hours, such as vacation.)*

iv) ☐ $ _____ for each Hour of Service credited during the payroll period for each person who was an Active Participant during that period. *(Contribution is made for paid nonworking hours, such as vacation.)*

3) ☒ DISCRETIONARY CONTRIBUTIONS. Discretionary Contributions may be made for each Plan Year in an amount determined by the Employer. Discretionary Contributions and Forfeitures, if applicable, shall be allocated as of the last day of the Plan Year to persons meeting the requirements in Item R using Annual Pay for the Plan Year. The amount allocated to such person shall be equal to the Discretionary Contributions multiplied by the ratio of such person's Annual Pay to the total Annual Pay for all such persons.

4) FORFEITURE APPLICATION.

Forfeitures of Nonvested Accounts when a Participant receives a distribution of his entire Vested Account, as described in Plan Section 3.05, shall occur on the first day of the Plan Year following the Plan Year in which the Participant receives, or is deemed to receive, the distribution, unless otherwise specified in (a) below.

a) ☒ Such Forfeitures shall occur as of the date the Participant receives, or is deemed to receive, the distribution.

R. CONTRIBUTION REQUIREMENTS AND CONTRIBUTION LIMITATIONS.

1) REQUIREMENTS FOR CONTRIBUTIONS. Employer Contributions that are subject to the requirements of this Item R and Forfeitures, if applicable, shall be made for or allocated to each person who was an Active Participant at any time during the Plan Year, unless otherwise specified in (a), (b), (c), or (d) below.

NOTE: Selections may affect testing done to determine if the minimum coverage requirement of Code Section 410(b) is met, unless otherwise indicated.

a) ☐ Such amounts shall be made for or allocated to each person who was an Active Participant at any time during the Plan Year and either is an Active Participant on the last day of the Plan Year or has more than 500 Hours of Service during the latest Accrual Service Period ending on or before the last day of the Plan Year, unless a lesser number of Hours of Service is specified in (i) below. *(This selection does not affect coverage testing if the Accrual Service Period is the Plan Year.)*

i) ☐ Has more than _____ *(Up to 499.)* Hours of Service.

b) ☐ Such amounts shall be made for or allocated to each person who is an Active Participant on the last day of the Plan Year.

c) ☐ Such amounts shall be made for or allocated to each person who was an Active Participant at any time during the Plan Year and has at least 1,000 Hours of Service during the latest Accrual Service Period ending on or before the last day of the Plan Year, unless otherwise specified in (i) below.

i) ☐ Has at least _____ *(Up to 999.)* Hours of Service.

d) ☐ Such amounts shall be made for or allocated to each person who is an Active Participant on the last day of the Plan Year and has at least 1,000 Hours of Service during the latest Accrual Service Period ending on or before that date, unless otherwise specified in (i) below.

i) ☐ Has at least _____ *(Up to 999.)* Hours of Service.

The requirements in (a), (b), (c), or (d) above are modified as follows:

e) ☐ Such amounts shall also be made for or allocated to each person who was an Active Participant at any time during the Plan Year and (i) dies or (ii) has a Severance from Employment after he reaches his Normal Retirement Date or becomes disabled. Such amounts shall also be made for or allocated to each person who was an Active Participant at any time during the Plan Year and has died or become disabled while performing Qualified Military Service during the Plan Year. For purposes of this paragraph, disabled means the disability is subsequently determined to meet the definition of Totally Disabled.

2) The ACCRUAL SERVICE PERIOD is the consecutive 12-month period ending on the last day of each Plan Year, unless otherwise specified in (a) below.

a) ☐ *(Use only with (1)(a), (c), or (d) above.)* The Accrual Service Period is the

consecutive 12-month period ending on each _____. *(Month and day.)*

NOTE: Selecting (a) above will require nondiscrimination testing to determine if the nondiscrimination requirement of Code Section 401(a)(4) is met.

3) CONTRIBUTION LIMITATIONS. The Annual Additions for a Participant during a Limitation Year shall not be more than the Maximum Annual Addition. *(See Plan Section 3.07.)*

a) MULTIPLE 403(b) PLANS. *(This item applies if an Employer, as defined in Plan Section 3.07, maintains another 403(b) plan that is not a 403(b) Prototype Plan in which any Participant in this Plan is or was or could become a participant.)* If the Participant is covered under another 403(b) plan maintained by the Employer, as defined in Plan Section 3.07, the provisions of (c) through (f) of Plan Section 3.07

shall apply as if the other plan were a 403(b) Prototype Plan, unless otherwise specified in (i) below. *(Plan Section 3.07 limits the last Annual Additions.)*

i) ☐ The method described on the attached page(s) shall be used to limit total Annual Additions to the Maximum Annual Addition and shall properly reduce the excess amounts in a manner that precludes Employer discretion. *(If selected, the Employer will provide the method for limiting Annual Additions on the attached page(s).)*

S. VOLUNTARY CONTRIBUTIONS, ROLLOVER CONTRIBUTIONS, AND IN-PLAN ROTH ROLLOVERS.

1) VOLUNTARY CONTRIBUTIONS are not permitted, unless otherwise specified in (a) below.

a) ☐ *(If selected, the Plan is subject to an ACP Test.)* Voluntary Contributions are permitted. *(Select any that apply.)*

i) ☐ ____ % of Pay is the minimum Voluntary Contribution.

ii) ☐ Voluntary Contributions must be a whole percentage of Pay.

iii) ☐ ____ % of Pay is the maximum Voluntary Contribution.

2) ROLLOVER CONTRIBUTIONS are permitted, unless otherwise specified in (a) below.

a) ☐ Rollover Contributions are not permitted.

3) IN-PLAN ROTH ROLLOVERS are not permitted, unless otherwise specified in (a) below.

a) ☐ *(Only available if the Plan allows Rollover Contributions in (2) above and Roth Elective Deferral Contributions in Item N(4).)* In-plan Roth Rollovers of otherwise distributable amounts are permitted subject to the provisions of Plan Section 3.04. To allow an In-plan Roth Rollover of otherwise distributable amounts, the Plan may limit withdrawals as specified below.

NOTE: To comply with Code Section 411(d)(6), limited age 59 1/2 withdrawals cannot be selected if the Plan already includes age 59 1/2 withdrawals.

i) ☐ AGE 59 1/2 WITHDRAWALS LIMITED TO IN-PLAN ROTH ROLLOVERS. *(Only available if the Plan does not already allow age 59 1/2 withdrawals in Item X(4).)* A Participant may withdraw any part of his Vested Account resulting from Elective Deferral Contributions, Matching Contributions, Qualified Nonelective Contributions, Additional Contributions, and Discretionary Contributions at any time after he attains age 59 1/2 only for purposes of In-plan Roth Rollovers. A Participant may make such a withdrawal at any time.

b) ☐ *(Only available if (a) above is selected.)* In-plan Roth Rollovers may include otherwise nondistributable amounts. In-plan Roth Rollovers of otherwise nondistributable amounts may be made at any time.

T. INVESTMENTS.

1) The Plan is funded through a Custody Agreement, and if applicable, Annuity Contract(s).

2) INVESTMENT DIRECTION. Subject to the provisions of Article IV of the Basic Plan, the Custody Agreement, and if applicable, the Annuity Contract, the investment of a Participant's Account shall be directed by *(Select one.)*

a) ☒ the Participant for all Contributions.

b) ☐ the Named Fiduciary for all Contributions.

c) ☐ the Participant for Elective Deferral Contributions, Voluntary Contributions, and Rollover Contributions. The Named Fiduciary for Employer Contributions other than Elective Deferral Contributions.

d) ☐ the Participant for Voluntary Contributions and Rollover Contributions. The Named Fiduciary for Employer Contributions including Elective Deferral Contributions.

3) LOANS. Loans to a Participant are not permitted, unless otherwise specified in (a) below.

NOTE: To the extent that there are contracts or custodial agreements under the Plan for which records are kept by a provider other than Principal Life Insurance Company and such contracts or custodial agreements allow loans to a Participant, the Plan must allow loans to satisfy the reasonably equivalent basis requirement of ERISA.

a) ☒ *(Only available if the Custodian agrees to hold the promissory note.)* Loans are available to a Participant subject to the provisions of Plan Section 5.06.

i) The Loan Administrator(s) is/are: (*Fill in the person(s) or position(s) authorized to administer the Participant loan program. Neither Principal Life Insurance Company nor its affiliates can be named.)*

Director of Human Resources

ii) ☐ LIMITED TO HARDSHIP. Loans are available only for hardship reasons as described in Plan Section 5.05.

iii) ☒ The minimum amount of any loan is $ __1,000__. *(Up to $1,000.)*

iv) ☐ The maximum amount of any loan is the lesser of 50% of the Participant's Vested Account, reduced by any outstanding loan balance or

$_____ *(Up to $49,999.)*, reduced by the highest outstanding loan balance during the one-year period ending on the day before the loan is made.

NOTE: If not selected, the maximum is the lesser of (i) 50% of the Participant's Vested Account, reduced by any outstanding loan balance or (ii) $50,000, reduced by the highest outstanding loan balance during the one-year period ending on the day before the loan is made.

v) ☐ SOURCE OF LOAN LIMITED. Loans shall only be available from the portion of the Participant's Vested Account resulting from *(Select at least one.)*

A. ☐ Elective Deferral Contributions

B. ☐ Rollover Contributions

C. ☐ Voluntary Contributions

vi) The number of outstanding loans for a Participant shall not be limited, unless otherwise specified in A below.

A. ☒ The number shall be limited to __1__.

NOTE: Principal Life Insurance Company will only record keep up to 5 loans.

vii) The number of loans approved for a Participant in any 12-month period shall not be limited, unless otherwise specified in A below.

A. ☒ The number shall be limited to __1__.

NOTE: Principal Life Insurance Company will only record keep up to 5 loans.

viii) The term of the loan shall be limited to five years, unless otherwise specified in A below.

A. ☐ The term of the loan shall not be limited to five years for the purchase of a Participant's principal residence. Such loan term shall be limited to a period consistent with commercial home loan practices, unless otherwise specified in (1) below.

1) ☐ SPECIFIED LIMIT FOR PRINCIPAL RESIDENCE. The term of the loan shall be limited to the lesser of (i) _____ *(Up to 25.)* years or (ii) a period of years consistent with commercial home loan practices.

U. VESTING PERCENTAGE.

Vesting Percentage is used to determine the nonforfeitable percentage of a Participant's Account resulting from Employer Contributions.

The Vesting Percentage for a Participant who is an Employee on or after the date he reaches Normal Retirement Age or Early Retirement Age shall be 100%. The Vesting Percentage for a Participant who is an Employee on the date he dies or the date he becomes disabled shall be 100%. The Vesting Percentage shall also be 100% for a Participant who dies or becomes disabled while performing Qualified Military Service. For purposes of this paragraph, disabled means the disability is subsequently determined to meet the definition of Totally Disabled.

1) 100% VESTED CONTRIBUTIONS. Elective Deferral Contributions, Qualified Matching Contributions, and Qualified Nonelective Contributions are 100% vested. The following Employer Contribution(s) are also 100% vested at all times. *(Select any that apply.)*

a) ☒ Matching Contributions

b) ☐ Additional Contributions

c) ☒ Discretionary Contributions

The Additional Contributions created to allocate Forfeitures remaining at the end of the Plan Year when a Plan does not allow Discretionary Contributions in Item Q(3) shall follow the vesting schedule for Additional Contributions if the Plan allows Additional Contributions in Item Q(2). If the Plan does not allow Additional Contributions in Item Q(2), the Additional Contributions created to allocate Forfeitures remaining at the end of the Plan Year shall be 100% vested at all times.

2) VESTING SCHEDULE. A Participant's Account resulting from Employer Contributions that are not 100% vested when made is subject to the vesting schedule selected below. *(Select (a), (b), or (c) if some Employer Contributions are not 100% vested. If (c) is selected, fill in percentages.)*

VESTING SERVICE	VESTING PERCENTAGE		
(whole years)	(a)	(b)	(c)
	☐	☐	☐
Less than 1	0	0	_____
1	0	0	_____
2	0	20	_____
3	100	40	_____

4	60	_____
5	80	_____
6 or more	100	_____

NOTE: The schedule in (c) must provide 100% vesting after 3 years of Vesting Service or must at all times be as great as the Vesting Percentage that the schedule in (b) would provide.

A Participant's Vesting Percentage determined above shall never be reduced in later years.

V. VESTING SERVICE.

Vesting Service, subject to the provisions of Plan Section 1.02, shall be determined as follows: *(Select (1) or (2) if some Employer Contributions are not 100% vested or if Early Retirement Age is based on Vesting Service.)*

1) ☐ ELAPSED TIME METHOD. Vesting Service is the total of an Employee's countable Periods of Service without regard to Hours of Service.

2) ☐ HOURS METHOD. A year of Vesting Service is a Vesting Service Period in which an Employee has at least 1,000 Hours of Service, unless otherwise specified in (a) below.

a) ☐ _____ *(Up to 999.)* Hours of Service.

b) A VESTING SERVICE PERIOD is the consecutive 12-month period ending on the last day of each Plan Year, unless otherwise specified in (i) or (ii) below.

i) ☐ The consecutive 12-month period ending on each

_____. *(Month and day.)*

ii) ☐ The consecutive 12-month period beginning on an Employee's Hire Date and each following consecutive 12-month period beginning on an anniversary of that Hire Date.

c) A VESTING BREAK, when the hours method is used, is a Vesting Service Period in which an Employee is credited with not more than one-half of the Hours of Service required for a year of Vesting Service, unless otherwise specified in (i) below.

i) ☐ _____ or fewer Hours of Service. *(Fill in up to 500 hours but less than hours required for a year of Vesting Service.)*

NOTE: If the hours method is used, the date completed in (3) below should be the first day of a Vesting Service Period. If the first day of such period is not used, service during the period in which the date occurs shall not be excluded because of that modification. If the hours method is used and (4) is selected, service during the period in which the Employee attains the age completed in (4) shall not be excluded because of that modification. If the Employer had a previous plan that terminated within five years of the Effective Date of this Plan, the Employer

must treat the effective date of the terminated plan as the Effective Date of this Plan for purposes of the selection in (3) below.

VESTING SERVICE MODIFICATIONS:

3) ☐ Service before _____ *(Month, day and year.)* shall not be counted.

NOTE: If selected, fill in a date on or before the date the Plan became subject to ERISA. A new plan becomes subject to ERISA on its Effective Date.

4) ☐ Service before an Employee attains age _____ *(Up to 18.)* shall not be counted.

W. EQUIVALENCIES.

Hours of Service shall be determined on the basis of actual Hours of Service that an Employee is paid or entitled to payment, unless otherwise specified in (1), (2), or (3) below.

1) ☐ DAYS. On the basis of days worked. An Employee shall be credited with 10 Hours of Service for each day in which he would otherwise be credited with at least one Hour of Service.

2) ☐ WEEKS. On the basis of weeks worked. An Employee shall be credited with 45 Hours of Service for each week in which he would otherwise be credited with at least one Hour of Service.

3) ☐ MONTHS. On the basis of months worked. An Employee shall be credited with 190 Hours of Service for each month in which he would otherwise be credited with at least one Hour of Service.

NOTE: If selected, the equivalency shall be used for all Employees.

X. WITHDRAWAL BENEFITS.

1) VOLUNTARY. A Participant may withdraw any part of his Vested Account resulting from Voluntary Contributions, unless such withdrawals are not permitted in (c) below.

A Participant may make two such withdrawals in any 12-month period, unless otherwise specified in (a), (b), or (c) below.

a) ☐ A Participant may make such a withdrawal at any time.

b) ☐ A Participant may make _____ such withdrawal(s) in any 12-month period.

c) ☐ Withdrawal of Voluntary Contributions is not permitted.

2) ROLLOVER. A Participant may withdraw any part of his Vested Account resulting from Rollover Contributions, unless such withdrawals are not permitted in (c) below.

A Participant may make two such withdrawals in any 12-month period, unless otherwise specified in (a), (b), or (c) below.

a) ☐ A Participant may make such a withdrawal at any time.

b) ☐ A Participant may make _____ such withdrawal(s) in any 12-month period.

c) ☐ Withdrawal of Rollover Contributions is not permitted.

3) ☒ HARDSHIP. A Participant may withdraw any part of his Vested Account resulting from Elective Deferral Contributions in the event of undue financial hardship. Withdrawals shall be limited to the aggregate dollar amount of the Participant's Elective Deferral Contributions (excluding earnings thereon), reduced by such Elective Deferral Contributions previously distributed. The withdrawal is subject to the provisions of Plan Section 5.05.

a) ☐ Hardship distributions relating to medical, tuition, and funeral expenses of a Primary Beneficiary are permitted.

4) ☒ AGE 59 1/2. *(Only available if the Plan does not allow limited age 59 1/2 withdrawals in Item S(3)(a)(i).)* A Participant may withdraw any part of his Vested Account resulting from Elective Deferral Contributions, Matching Contributions, Qualified Nonelective Contributions, Additional Contributions, and Discretionary Contributions any time after he attains age 59 1/2.

A Participant may make two such withdrawals in any 12-month period, unless otherwise specified in (a) or (b) below.

a) ☐ A Participant may make such a withdrawal at any time.

b) ☐ A Participant may make _____ such withdrawal(s) in any 12-month period.

5) ☐ QUALIFIED RESERVIST DISTRIBUTION. A Participant may withdraw any part of his Vested Account resulting from Elective Deferral Contributions if such distribution meets the requirements to be a Qualified Reservist Distribution.

NOTE: Withdrawals are subject to the distribution of benefits provisions of Article VI or VIA of the Basic Plan, whichever applies.

Y. RETIREMENT AND THE START OF BENEFITS.

1) NORMAL RETIREMENT AGE is the age at which the Participant's Account becomes nonforfeitable if he is an Employee. A Participant's Normal Retirement Age is age 65, unless otherwise specified in (a) or (b) below.

a) ☒ Age ____59 1/2___. *(Less than 65. Cannot be less than 59 1/2 if (3)(a) below is not selected.)*

b) ☐ The older of age _____ *(Up to 65. Cannot be less than 59 1/2 if (3)(a) below is not selected.)* or his age on the *(Select (i) or (ii).)*

i) ☐ date _____ *(Up to 5.)* years after the first day of the Plan Year in which his earliest Entry Date occurred.

ii) ☐ earlier of the date _____ *(Up to 5.)* years after his Hire Date or the date 5 years after the first day of the Plan Year in which his earliest Entry Date occurred.

The provisions of (b) are modified as follows:

c) ☐ A Participant's Normal Retirement Age shall not be older than age

_____. *(Up to 70.)*

2) NORMAL RETIREMENT DATE, FIRST OF MONTH ON OR AFTER. Normal Retirement Date means the earliest first day of the month on or after a Participant reaches his Normal Retirement Age, unless otherwise specified in (a) below.

a) ☐ DATE REACHES. Normal Retirement Date means the date the Participant reaches his Normal Retirement Age.

3) START OF RETIREMENT BENEFITS. A Participant may choose to have retirement benefits begin before he has a Severance from Employment and on or after the later of (i) his Normal Retirement Date or (ii) age 59 1/2, unless otherwise specified in (a) below.

a) ☐ A Participant may not choose to have retirement benefits begin before he has a Severance from Employment.

4) EARLY RETIREMENT DATE. *(Select (a) or (b).)*

a) ☐ PERMITTED. If (2)(a) above is not selected, Early Retirement Date is the first day of the month before a Participant's Normal Retirement Date that he selects for receiving a distribution of his Vested Account as an early retirement benefit. If (2)(a) above is selected, Early Retirement Date is any day before a Participant's Normal Retirement Date that he selects for receiving a distribution of his Vested Account as an early retirement benefit. This day shall be on or after the date the Participant has a Severance from Employment and reaches Early Retirement Age. A Participant reaches Early Retirement Age on the date the following requirement(s) are met: *(Select at least one. A Participant's Account is 100% vested if he is an Employee on or after he reaches this age.)*

i) ☐ He is age _____. *(Less than age in (1) above.)*

ii) ☐ He has _____ *(Up to 6.)* years of Vesting Service.

iii) ☐ He is within _____ *(Up to 6.)* years of Normal Retirement Date.

iv) ☐ He has been an Active Participant _____ *(Up to 6.)* years based on his earliest Entry Date.

b) ☒ Early retirement is not permitted.

5) TOTALLY DISABLED. The definition of Totally Disabled is tied to Social Security disability, unless otherwise specified in (a), (b), or (c) below.

a) ☐ Tied to the Employer's long-term disability plan.

b) ☐ Determined by a physician chosen by the Plan Administrator and the disability has lasted or can be expected to last for at least 12 months.

c) ☐ Determined by a physician chosen by the Plan Administrator and the disability has lasted for at least five months.

NOTE: If (b) or (c) is selected, any benefit provided to a Participant who is Totally Disabled is a "disability benefit" subject to the special disability claim procedures in Plan Section 9.05(b).

6) SEVERANCE FROM EMPLOYMENT DUE TO EMPLOYEE NO LONGER WORKING FOR AN ELIGIBLE EMPLOYER. Plan Section 5.03 permits an Inactive Participant to elect to receive a distribution after he has a Severance from Employment. An Inactive Participant may <u>not</u> elect to receive a distribution after he has a severance from employment, as defined in Plan Section 5.04, unless otherwise specified in (a) below.

a) ☐ An Inactive Participant may elect to receive a distribution after he has a severance from employment, as defined in Plan Section 5.04, if his entire Account is 100% vested.

7) SMALL AMOUNTS PAYMENT. A small amounts payment will be made in accordance with the small amounts payment provisions of Plan Section 10.12 (or which is a small amounts payment under Article VIII of the Basic Plan at complete termination of the Plan), unless otherwise specified in (a) below.

a) ☐ Small amount payments are not allowed. *(Select if there are contracts or custodial agreements under the Plan for which records are kept by a provider other than Principal Life Insurance Company unless the amount of all funds for a Participant are reported to the record keeper of the Plan at the time the Employer provides notice to the record keeper of the Participant's benefit event.)*

Z. FORMS OF DISTRIBUTION FOR RETIREMENT BENEFITS.

The options available under the Plan shall be: *(Select (1), (2), or (3).)*

1) ☒ INCLUDE LIFE ANNUITIES. Those specified in Plan Section 6.02 other than the fixed period and fixed payment installments, unless otherwise specified in (a) below.

a) ☒ INSTALLMENTS. The fixed period and fixed payment installment options shall be available.

2) ☐ NO LIFE ANNUITIES. Those specified in subparagraph (a)(2) of Plan Section 6A.02 other than the fixed period and fixed payment installments, unless otherwise specified in (a) below.

a) ☐ INSTALLMENTS. The fixed period and fixed payment installment options shall be available.

3) ☐ SINGLE SUM. The only option available under the Plan shall be a single sum payment, unless otherwise specified in (a) below.

a) ☐ INSTALLMENTS. The fixed period and fixed payment installment options shall be available.

AA. ADOPTING EMPLOYERS. *(Identify Adopting Employers below.)*

NOTE: The Plan must meet the minimum coverage requirement of Code Section 410(b) taking into account all employees of Related Employers. If there are Related Employers, some or all of those employers may need to adopt this Plan in order for the Plan to meet this requirement. Some Related Employers may also choose to adopt this Plan even though not required. Any adopting employer under this Plan must be a qualifying employer described in Code Section 403(b)(1)(A). To participate in the Principal Financial Group Prototype for 403(b) Plans, an Adopting Employer must be a Code Section 501(c)(3) organization. Use this item to identify the Related Employers whose employees may become Participants.

1) There are no Adopting Employers, unless otherwise specified in (a) below.

a) ☐ The Adopting Employers listed in (3) below establish a separate plan for the benefit of their Employees or participate with the Employer in a single plan, as specified. By adopting this Plan each Adopting Employer certifies that they are a Code Section 501(c)(3) organization.

2) Separate Plans or Single Plan

a) SEPARATE PLANS. Adopting Employers may establish a separate plan for the exclusive benefit of their Employees. The establishment of an Adopting Employer's separate plan shall be evidenced in writing according to the provisions of Plan Section 2.04.

NOTE: A separate plan should not be established unless (i) each plan can meet the minimum coverage requirement of Code Section 410(b) separately or (ii) the combined plans can meet the minimum coverage requirement of Code Section 410(b) and the nondiscrimination requirement of Code Section 401(a)(4). The combined plans may not meet the requirement of Code Section 401(a)(4) if the plans provide for a discretionary Matching Contribution or Discretionary Contribution that is determined separately for each Adopting Employer.

b) SINGLE PLAN. Adopting Employers may participate with the Employer in a single plan. An Adopting Employer's agreement to participate in this Plan shall be evidenced in writing according to the provisions of Plan Section 2.05.

NOTE: The provisions of Plan Section 10.04 shall apply in the case of the merger of this Plan with any Prior Plan of an Adopting Employer participating with the Employer in a single plan.

AB. MERGER OR SPIN-OFF.

1) ☐ MERGER. The following 403(b) plan(s) merged into this Plan:

a) Name _____

_____

Effective date of merger _____
(Month, day and year.)

2) ☐ SPIN-OFF. This Plan was a restatement due to a spin-off from the following 403(b) plan:

a) Name _____

_____

Effective date of original plan _____
(Month, day and year.)

By executing this Adoption Agreement, the Employer adopts the “Principal Financial Group Prototype for 403(b) Plans” for the exclusive benefit of its Employees. The selections and specifications contained in this Adoption Agreement and the terms, provisions, and conditions provided in the Principal Financial Group Prototype Basic 403(b) Plan constitute the Employer's PLAN. No other basic plan may be used with this Adoption Agreement.

It is understood that Principal Life Insurance Company is not a party to the Employer's Plan and shall not be responsible for any tax or legal aspects of the Employer's Plan. The Employer assumes responsibility for these matters. The Employer acknowledges that it has counseled, to the extent necessary, with selected legal and tax advisors. The obligations of Principal Life Insurance Company shall be governed solely by the provisions of its contracts and policies. Principal Life Insurance Company shall not be required to look into any action taken by the Plan Administrator, Named Fiduciary, Custodian, Investment Manager, or the Employer and shall be fully protected in taking, permitting, or omitting any action on the basis of the Employer's actions. Principal Life Insurance Company shall incur no liability or responsibility for carrying out actions as directed by the Plan Administrator, Named Fiduciary, Custodian, Investment Manager, or the Employer.

Note: The Employer must sign the Adoption Agreement when it first adopts the Plan; and must complete and sign a new Adoption Agreement if the Plan has been restated, or if the Plan has been amended to change any prior elections or make new elections.

(Complete in black ink.)

This Adoption Agreement is executed _____ .
(Date Signed. Month, day and year.)

FOR THE EMPLOYER

By signing this Adoption Agreement, the Employer certifies that they have reviewed the terms of and the Items selected within this Adoption Agreement. The Employer hereby certifies that a copy of this Plan document shall be provided to each Custodian and proper signatures will be obtained on the Custody Agreement. The Employer further certifies that it is a Code Section 501(c)(3) organization.

By _____
(Signature)

Print Name _____

Title _____

This Plan is an important legal document. It is recommended that the Employer consult with legal counsel regarding the tax and legal implications of the Plan, for which neither Principal Life Insurance Company, nor its agents, can assume responsibility.

Failure to properly fill out this Adoption Agreement may result in disqualification of this Plan. Principal Life Insurance Company will inform the Employer of any amendments made to the Plan or of the discontinuance or abandonment of the Plan. The address of Principal Life Insurance Company is 711 High Street, Des Moines, Iowa 50392-0001. When the Employer first adopts the prototype, Principal Life will assign a contact person and provide a toll-free number. If the Employer has not been assigned a contact person, call 1-800-543-4015, extension 51238, for assistance.

The Employer may rely on an opinion letter issued by the Internal Revenue Service as evidence that this Plan is qualified under Code Section 403(b) only to the extent provided in Revenue Procedure 2013-22.

The Plan must satisfy the requirements of Code Sections 401(a)(4) and 410(b) with respect to Employer Contributions under the Plan on a continuing basis. The opinion letter may not be relied upon with respect to whether the Plan satisfies the requirements of Code Sections 401(a)(4) and 410(b). Additionally, the Employer may not rely on the opinion letter in certain other circumstances or with respect to certain qualification requirements, which are specified in the opinion letter issued with respect to the Plan and in Revenue Procedure 2013-22.

Item R(3)(a)(i): The method used to limit Annual Additions to the Maximum Annual Addition: